service to the Industrial Policy Resolutions of 1948 and 1956 and the socialist pattern of society.

It began with an apology. ‘In 1956, capital was scarce and the base of entrepreneurship not strong enough. Hence, the 1956 Industrial Policy Resolution gave primacy to the role of the state to assume a predominant and direct responsibility for industrial development,’ went Paragraph 3 of the Industrial Policy Statement 1991 (IP-1991). The argument defied logic. If private entrepreneurship in India was weak in the 1950s, why exclude it from so many basic and key sectors and subject it to the tight leash of licencing and control? IP-1991 did not mention IDRA-1951 and the Licence Policy of 1967, which created the strangulating licencing regime. Instead, it mentioned the licence policies of 1973 and 1980, whereby some relaxations were given.

IP-1991 wrongly claimed that the industrial policies of the 1950s, 1960s and 1970s created a climate for rapid industrial growth. India was one of the most industrially laggard countries during this period. It claimed that broad-based infrastructure had been built up, which was not the objective of industrial policy and also factually incorrect. It also claimed that basic industries had been established, whereas India was still importing most of its capital goods and whatever basic industries were set up were based on imported technology.

The lip service and apology were, however, necessary to make the reforms optically acceptable and palatable to the lawmakers who had lived on the diet of the stifling controls. The government could successfully pull the wool over their eyes by styling the change as a continuation of existing policies—the beginning of re-privatization of industrial sectors but in the garb of the old socialist pattern of society.

IP-1991 initiated fundamental reforms in key areas such as industrial licencing, foreign investment, foreign technology acquisition and economic